

stock should be lower? Under these circumstances, isn't it safer to decide to buy at a cer-tain date rather than a certain price?

Fundamentally, this approach does not ignore the concept of value at all. It only appears to ignore it. Except for the probability that there would be a far greater increase in value coming in the future, it would be just as illogical as some of my financial friends claim it to be to decide to buy on a specific future date rather than at a specific price. However, when the indications are strong that such an increase is coming, decid-ing the time you will buy rather than the price at which you will buy may bring you a stock about to have extreme further growth at or near the lowest price at which that stock will sell from that time on. After all, this is exactly what you should be trying to do when you make any stock purchase.

## **5. Don't follow the crowd.**

There is an important investment concept which is frequently difficult to understand without considerable financial experience. This is because its explanation does not lend itself easily to precise wording. It does not lend itself at all to reduction to mathematical formulae.

Time and again throughout this book I have touched upon different influences that have resulted in a common stock going up or down in price. A change in net income, a change in a company's management, appearance of a new invention or a new discovery, a change in interest rates or tax laws—these are but a few random examples of conditions that will bring about a rise or fall in the quotations for a particular com-mon stock. All these influences have one thing in common. They are real occurrences in the world about us. They are actions which have happened or are about to happen. Now we come to a very different type of price influence. This is a change which is purely psychological. Nothing has changed in the outside or economic world at all. The great majority of the financial community merely look upon the same circumstances from a different viewpoint than before. As a result of this changed way of appraising the same set of basic facts, they make a changed appraisal of the price or the price-earnings ratio they will pay for the same shares.

There are fads and styles in the stock market just as there are in women's clothes. These can, for as much as several years at a time, pro-duce distortions in the relationship of existing prices to real values almost as